The Macroeconomics of Income and Wealth Inequality

Summer Term 2018/19 (M.Sc.)

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Objective

The objective of this seminar is to discuss recent work on the macroeconomics of income and wealth inequality. Topics include sources and implications of rising income inequality, wealth inequality and entrepreneurship, the role of bequests in shaping the wealth distribution, and what should be the optimal tax rates on top earners.

The main questions analyzed will be: *(i)* which mechanisms generate the observed inequality among households, and, *(ii)* what is the role of taxation with respect to inequality. To cope with these questions, we are going to review recent developments in the literature of macroeconomics with heterogeneous agents and incomplete markets for sharing risks. This quantitative framework (also know as "Bewley models") features households who differ from each other in terms of luck and/or innate factors such as ability to learn or produce in the labor market and initial asset positions. Due to these differences and to the missing insurance, the models generate different patterns of income, wealth and consumption inequality.

Assessment

Participants choose a paper from the list of topics. They are required to present the paper in class (45-minute presentation) and to write a seminar paper (15-20 pages, font size 12 pt and line spacing 1.5). Participants should provide a summary and critical evaluation of the paper and a comparison with the related literature. Seminar presentations and the paper are in English. Grading is based on the presentation (40 %) and the seminar paper (60 %).

Organizational Details

Students have to sign up for this seminar during the period **January 22 - January 28, 2019**. Students who have a received a slot in the seminar should send a list of at least 5 papers ranked by their preferences to alessandro.di-nola@uni-konstanz.de. Topics are allocated on a first come, first serve basis.

The seminar will be held as a block seminar on **July 3-4,2019, room: see ILIAS** (compulsory attendance). We will first meet on **April 29**, to discuss details (compulsory attendance). Participants have to hand in their seminar paper by **August 20** (or earlier) as electronic file + printed copy.

Topics

The workhorse economic environment to study income and wealth inequality in macroeconomics is the neoclassical growth model with idiosyncratic shocks and incomplete markets. It is highly recommended that seminar participants go over the survey papers listed among the introductory material below in order to get familiar with this basic framework and its applications.

Introductory Materials

Surveys: Heathcote et al. (2009), Guvenen (2011), Krueger et al. (2016), De Nardi and Fella (2017)

Textbooks: Piketty (2014), Heer and Maussner (2008), Ljungqvist and Sargent (2018)

1. Rising Inequality: over Time and across Countries

Heathcote et al. (2010), Guvenen et al. (2014), Kaymak and Poschke (2016), Krusell et al. (2015), Kindermann and Kohls (2018)

2. Wealth Inequality over the Life-Cycle

Huggett (1996), Conesa and Krueger (1999), Castaneda et al. (2003), De Nardi et al. (2018)

3. Wealth Inequality and Entrepreneurship

Quadrini (2000), Cagetti and De Nardi (2006), Kitao (2008), Cagetti and De Nardi (2009), Buera and Shin (2013)

4. Wealth Inequality, Bequests and Intergenerational Transfers

Heer (2001), De Nardi (2004), Hendricks (2007), De Nardi and Yang (2014), De Nardi and Yang (2016)

5. Redistribution and Optimal Taxation

Conesa and Krueger (2006), Conesa et al. (2009), Bakis et al. (2015), Guvenen et al. (2017)

6. Taxing Top Earners

Badel and Huggett (2014), Guner et al. (2016), Kindermann and Krueger (2014), Brüggemann (2017)

References

Badel, Alejandro and Mark Huggett, "Taxing top earners: a human capital perspective," Working Papers 2014-17, Federal Reserve Bank of St. Louis July 2014.

Bakis, Ozan, Baris Kaymak, and Markus Poschke, "Transitional Dynamics and the Optimal Progressivity of Income Redistribution," *Review of Economic Dynamics*, July 2015, *18* (3), 679–693.

Brüggemann, Bettina, "Higher Taxes at the Top: The Role of Entrepreneurs," *manuscript, McMaster University*, 2017.

Buera, Francisco J. and Yongseok Shin, "Financial Frictions and the Persistence of History: A Quantitative Exploration," *Journal of Political Economy*, 2013, *121* (2), 221–272.

Cagetti, Marco and Mariacristina De Nardi, "Entrepreneurship, Frictions, and Wealth," *Journal of Political Economy*, 2006, *114* (5), 835–870.

_ **and** _ , "Estate Taxation, Entrepreneurship, and Wealth," *American Economic Review*, 2009, *99* (1), 85–111.

Castaneda, Ana, Javier Díaz-Giménez, and José-Víctor Ríos-Rull, "Accounting for the U.S. Earnings and Wealth Inequality," *Journal of Political Economy*, 2003, *111* (4), 818–857.

Conesa, Juan C. and Dirk Krueger, "Social Security Reform with Heterogeneous Agents," *Review of Economic Dynamics*, October 1999, *2* (4), 757–795.

Conesa, Juan Carlos and Dirk Krueger, "On the Optimal Progressivity of the Income Tax Code," *Journal of Monetary Economics*, 2006, *53* (7), 1425–1450.

_ **, Sagiri Kitao, and Dirk Krueger**, "Taxing Capital? Not a Bad Idea after All!," *American Economic Review*, March 2009, *99* (1), 25–48.

De Nardi, Mariacristina, "Wealth Inequality and Intergenerational Links," *Review of Economic Studies*, 2004, *71* (3), 743–768.

_ **and Fang Yang**, "Bequests and heterogeneity in retirement wealth," *European Economic Review*, 2014, *72* (C), 182–196.

_ **and** _ , "Wealth inequality, family background, and estate taxation," *Journal of Monetary Economics*, 2016, *77* (C), 130–145.

_ **and Giulio Fella**, "Saving and Wealth Inequality," *Review of Economic Dynamics*, October 2017, *26*, 280–300.

_ **,** _ **, and Gonzalo Paz-Pardo**, "Nonlinear household earnings dynamics, self-insurance, and welfare," Discussion Papers 1817, Centre for Macroeconomics (CFM) June 2018.

Guner, Nezih, Martin Lopez-Daneri, and Gustavo Ventura, "Heterogeneity and Government revenues: Higher taxes at the top?," *Journal of Monetary Economics*, 2016, *80* (C), 69–85.

Guvenen, Fatih, "Macroeconomics with hetereogeneity : a practical guide," *Economic Quarterly*, 2011, (3Q), 255–326.

_ **, Burhanettin Kuruscu, and Serdar Ozkan**, "Taxation of Human Capital and Wage Inequality: A Cross-Country Analysis," *Review of Economic Studies*, 2014, *81* (2), 818–850.

_ **, Gueorgui Kambourov, Burhan Kuruscu, Sergio Ocampo, and Daphne Chen**, "Use It or Lose It: Efficiency Gains from Wealth Taxation," *manuscript, University of Minnesota*, 2017.

Heathcote, Jonathan, Fabrizio Perri, and Giovanni L. Violante, "Unequal We Stand: An Empirical Analysis of Economic Inequality in the United States: 1967-2006," *Review of Economic Dynamics*, 2010, *13* (1), 15–51.

_ **, Kjetil Storesletten, and Giovanni L. Violante**, "Quantitative Macroeconomics with Heterogeneous Households," *Annual Review of Economics*, May 2009, *1* (1), 319–354.

Heer, Burkhard, " Wealth Distribution and Optimal Inheritance Taxation in Life-Cycle Economies with Intergenerational Transfers," *Scandinavian Journal of Economics*, September 2001, *103* (3), 445–465.

_ **and Alfred Maussner**, *Dynamic General Equilibrium Modeling*, Springer-Verlag, 2008.

Hendricks, Lutz, "Retirement Wealth And Lifetime Earnings," *International Economic Review*, May 2007, *48* (2), 421–456.

Huggett, Mark, "Wealth distribution in life-cycle economies," *Journal of Monetary Economics*, December 1996, *38* (3), 469–494.

Kaymak, Barış and Markus Poschke, "The evolution of wealth inequality over half a century: The role of taxes, transfers and technology," *Journal of Monetary Economics*, 2016, *77* (C), 1–25.

Kindermann, Fabian and Dirk Krueger, "High Marginal Tax Rates on the Top 1%? Lessons from a Life Cycle Model with Idiosyncratic Income Risk," NBER Working Papers 20601, National Bureau of Economic Research, Inc October 2014.

_ **and Sebastian Kohls**, "Rental Markets and Wealth Inequality in the Euro-Area," *working paper*, 2018.

Kitao, Sagiri, "Entrepreneurship, Taxation and Capital Investment," *Review of Economic Dynamics*, 2008, *11* (1), 44–69.

Krueger, D., K. Mitman, and F. Perri, *Macroeconomics and Household Heterogeneity*, Vol. 2 of *Handbook of Macroeconomics*, Elsevier, August

Krusell, Per, Anthony Smith, and Joachim Hubmer, "The historical evolution of the wealth distribution: A quantitative-theoretic investigation," 2015 Meeting Papers 1406, Society for Economic Dynamics 2015.

Ljungqvist, L. and T.J. Sargent, *Recursive Macroeconomic Theory* The MIT Press, MIT Press, 2018.

Piketty, T., *Capital in the Twenty-First Century*, Harvard University Press, 2014.

Quadrini, Vincenzo, "Entrepreneurship, Saving and Social Mobility," *Review of Economic Dynamics*, 2000, *3* (1), 1–40.